DIGITALISING THE BUSINESS

// OPTIMISING FOR THE FUTURE

STIRLING & ROSE

WHAT DOES THE LEGAL DEPARTMENT NEED TO KNOW?

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WHAT IS DIGITALISATION?

Digitalisation, also known as digital transformation, involves taking analogue processes and making them digital (code based).

Key factors in the successful digitisation of a business

- Culture of innovation;
- Data and AI driven workflows;
- Applied emerging technologies;
- Digital literacy of people; and
- Capable applications and legacy systems.

Digitalisation can involve everything from automating business processes like communication and collaboration, to streamlining and digitally connecting your procurement, sales, marketing and legal functions (to name a few) through the use of technologies such as artificial intelligence (AI), data generation, automation, Internet of Things, 5G, distributed ledger technology, cloud and other platforms.

Digitalisation is a whole of organisation imperative and requires the right strategic planning and risk appraisal. The legal team has an important role in helping steward what are often complex legal, commercial, technological, operational and ethical opportunities and challenges. Much of the complexity in digitalisation involves people, it's not just about technology.

A word of warning - the 'sexy stuff' is also long-term business critical.

When you are drinking from the firehouse of "business as usual", it can be tempting to ignore digitalisation and instead focus attention on getting foundational processes sorted before the "sexy stuff". A lower risk approach is to divert some minimum percentage of workplace attention, budgets and resources to future proofing the business.

Large technology companies often spend upwards of 20 per cent of annual revenue on product and service development. What proportion of your business balance sheet is dedicated to the digital transformation of your core assets and services?

Having said that, you can't digitise a broken process. The opportunity must be taken to improve business operations as part of the digitisation process, or even prior to implementation.

WHY DIGITALISE?

By automating the right tasks and processes, businesses can pivot valuable human attention to high order workflows that maximise market position.

Digital tools and platforms can help businesses track data and performance more effectively, allowing identification of areas for improvement. Within a digitised system, embedded machine learning provides better pattern matching and pattern identification.

A legal department armed with "useful" data can help the board incorporate strategic business learnings (opportunities and risks) into the future provision of the business.

Digitalisation can help businesses to speed up their operations and make decisions faster. Additionally, digital tools and platforms can provide real-time data that can help businesses to react quickly to changes in the market. At times however, speed can run counter to good governance and legal compliance. The legal department is best placed to help the business find the balance between moving quickly and orderly lawful operation.

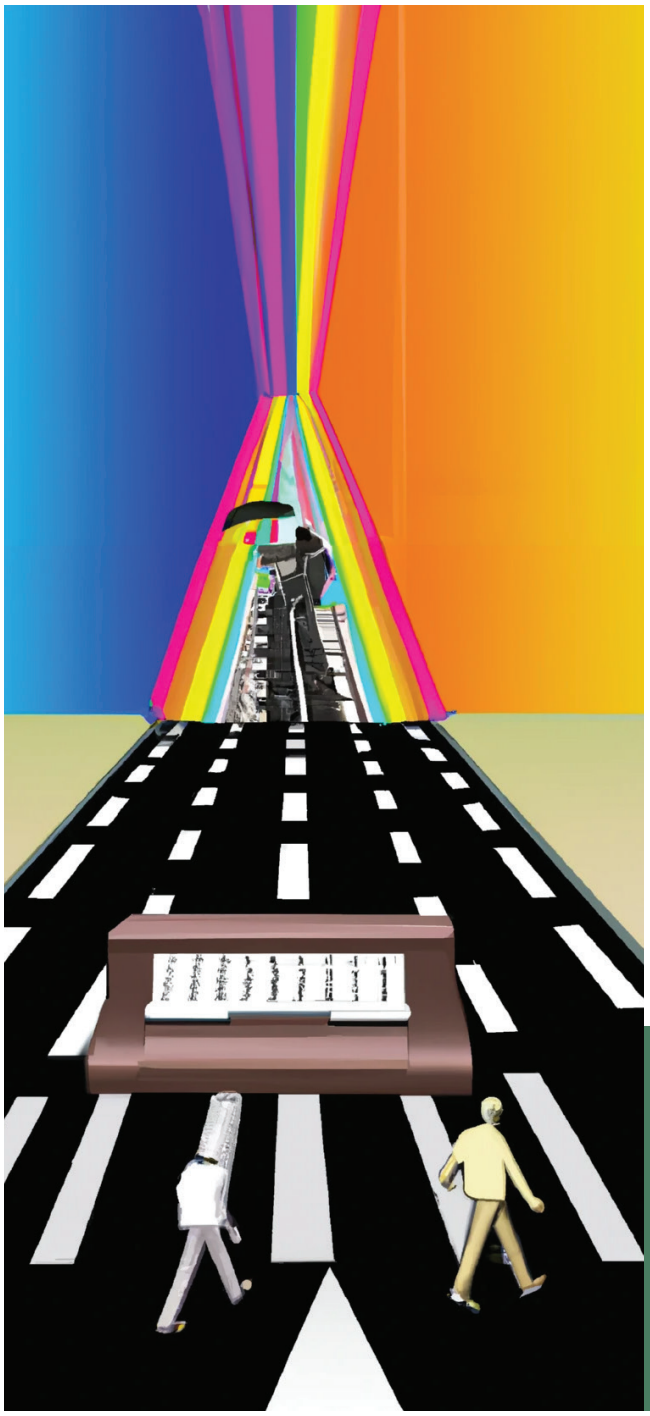
Industry is at its best when creative endeavours are married with process improvement.

The best innovation needs guardrails (not bottlenecks) from the legal department. To do this job properly, and not be the bottleneck, the legal department needs appropriate budget, training and resources that support its own digital transformation. Senior legal counsel should advocate to the board to this end.

Digitalisation is now a core part of doing business and the legal team must meaningfully engage with it.

HOW CAN LEGAL HELP?

The legal department has an important role to play in the digitalisation of the business and itself.



Legal departments must ensure they have the appropriate legal expertise to identify and implement the platform and process infrastructure and architecture (such as the adoption of cloud-based solutions), in a way that is globally compliant, and which minimises legal risk, while at the same time providing effective cybersecurity and data management.

Lawyers globally have legal duties that require the efficient use of technology. Duties to act in your client's best interest, deliver legal services competently, provide clear, timely advice and keep your client's confidences take on new meaning digitally. Increasingly you will need to use digital tools that deliver more accurate, faster outcomes, as well as protect legal confidences with data privacy and cybersecurity front of mind.

Primary legal issues associated with digitalisation include:

- Privacy and cybersecurity (including breach)
- procurement and implementation of technological tools and platforms
- environment, social and governance (ESG),
- investment and financing in emerging technology
- third party partnerships and projects in emerging technology
- new and emerging regulatory issues
- insolvencies, restructuring and disputes
- exposure to new legal tools (like smart legal contracts)

Legal departments need to prioritise:

- choosing technology that is fit for purpose;
- using the technology correctly, including understanding its outputs;
- understanding the risks associated with technology; and
- challenging or interrogating the technology.

WHERE TO FOCUS YOUR EFFORTS

1.

GOVERNANCE

Poor governance can take the form of lack of voice (or a lack of being heard!), weak accountability, misaligned incentives, lack of transparency or misalignment with business pace and priorities to name a few. The legal department can play a lead role in governance design and execution. In the medium to long term Smart Legal Contracts will be the ultimate tool in the legal department arsenal.

Smart Legal Contracts will automate business performance (including reporting) and expose internal and external business information through collection of structured data. Over time boards will become increasingly dependent on the real time business mapping and recommended decision making made possible using Smart Legal Contracts.

2.

TALENT

Across the business, employees will need more time and resources to upskill and work with other teams if their function is being digitised. Often key performance indicators (KPIs) apply through vertical hierarchies, as a result digital transformation that involves time spent across horizontal, multidisciplinary projects/teams can fall outside of remuneration gateways and punish innovative team members. The legal department can assist by helping the board create pathways and incentives for people spending additional time learning and changing their day job (while they are still doing their day job).

Data shows that the most successful digital transformation allows for non-traditional pathways for outstanding candidates with transformation aptitude, or cross domain literacy (for example IT and legal skills) to get on with helping design and galvanise organisational

3.

CYBERSECURITY & PRIVACY

New vulnerabilities open up with digital platforms, with disparate systems and huge data flows across different tools, the risk of exposing or mishandling data is increasing. Organisations need to understand when data is collected, where and how it is stored and what permissions are set around it. Legal departments can be vocal to elevate the business and reputational risks associated with mishandling data, particularly in light of recent high-profile breaches.

4.

REGULATORY & COMPLIANCE

In the short-term digitalisation can make the job of compliance more time consuming and complex for legal teams. Digital tools are evolving to supplement legal teams in tracing, monitoring, and reporting on their requirements. Legal plays a role in taking charge of the compliance issues and pitching the right tools for the job. Legal teams well into this journey know that tools and platforms that cross multiple vertical requirements are more useful than getting stuck with a basket full of different applications and providers.

5.

LEGAL DUTIES

As an officer of the court, you also have a duty to deliver legal services competently and efficiently, which means that you have an obligation to use technology when it is more efficient than manual input. A technical obligation is not explicitly expressed in the Legal Profession Uniform Law Australian Solicitors Conduct Rules; however, the duty of competency extends to understanding and mitigating risks with the use of technology when efficient.

6.

ESG

DIgitalisation can change the environmental and social footprint of your organisation including your compute power, workforce displacement through automation, or the production of electronic waste to name a few. While there are new risks, there are also substantive opportunities for transparency, verification and compliance of your ESG obligations through digitalisation. The legal team can be strategic in identifying and vetting technologies in the space.

Key areas where lawyers should take action:

Governance: playing a key role in responsive risk management; challenging or interrogating the technology. Remembering a conservative approach to risk includes an investment of time and resources to future state, not just delivering BAU.

Talent: upskilling the legal team to be digitally literate and creative, able to collaborate in multi-disciplinary teams to spot and act on technology risks;

Tools: choosing technology that is fit for purpose and using the technology correctly, including understanding its outputs.

SOLUTION IMPLEMENTATION

Any holistic change management will impact organisational culture and compliance. For example, there will be several decision points for the company to consider in establishing a multidisciplinary team approach and whether this fits within the current cultural context of the company or will require significant change management. While there are challenges in a multidisciplinary team approach, the advantages are stronger integration and communication opportunities within your company. There are a number of areas where the legal team can take action:

GOVERNANCE - Play a strategic role in the design and implementation of governance processes, such as:

Risk Register: The enterprise-wide risk register should be updated regularly in line with regulatory changes, business operational practices and futureproofing. Legal should expect to be updating due diligence procedures, management of data privacy and consent policies, decisions involving the security and cybersecurity risks and update risks associated with regulatory and policy compliance.

Integration strategy: One strategy is to create a detailed plan for the integration process. This should include timelines and set goals for key milestones along the way. Organisations should also ensure that they have the necessary resources in place, such as funding and skilled personnel who are familiar with both the new technology and existing practices within the organisation.

Due diligence checklists: Before investment a careful set of diligence activities include supplier and contract diligence, system integrity audits, security assessments, licensing review, conflict of interest checks and review of supplier policies. Legal can develop prescribed checklists as well as softer guidance materials for pre-investment activities.

Third party risk playbook: guidance and execution support to the business for ongoing management of third parties may include compliance review schedules, red flag training, and automatic triggers.

Security audits: With so much information being collected electronically, organisations must ensure that their data security measures are up to date and sufficient for protecting sensitive information from theft or loss. This might involve using encryption methods, implementing robust password protocols, or implementing systems for monitoring access and activity. Additionally, it's important to have comprehensive cybersecurity protocols in place, including employee training programs and incident response plans in case of a breach.

TALENT - Recruit, upskill and harvest knowledge across the organisation (Knowhow):

Recruit new skills: Hiring lawyers with technical backgrounds, such as coding experience, data science or systems architecture is a logical step to accelerate your digitalisation Knowhow. Legal teams can work with HR to develop recruitment criteria and assessment tools for digital literacy of their legal hires.

Invest in training: Leading organisations are investing in education. By providing workers with training sessions or helping them learn from others in similar situations, organisations can help individuals feel more prepared and confident when adopting new systems and technologies. Not only does this enhance the Knowhow, but the most effective organisations report that training and development of in-house staff ultimately reduces costs.

TOOLS - The legal department can support the digitalisation journey with tools for their own use – to drive efficiency and robustness of legal analysis.

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CREDENTIALS

A WORLD CLASS TEAM

TOP TIER EXPERTISE WITH
BOUTIQUE SERVICE

Natasha Blycha - Managing Director

Natasha is one of the world's pre-eminent smart contract and distributed ledger technology experts. The former Global Head of a Digital Law practice of a major international law firm spanning 15 offices, Natasha is regarded as a world leading expert on blockchain and digital assets, web 3.0, digital ethics, and human rights. Natasha sits on the Law Council of Australia's Digital Commerce and Financial Services Committees. Natasha co-authored the Oxford Smart Legal Contracts textbook and was named the Financial Times' Most Innovative Lawyer and Lawyers Weekly Thought Leader of the Year.

James Myint - Managing Partner

James was the Australian Head of a major international law firms Digital Law practice. A banking and finance expert, he has significant local and global experience in high complexity, first of their kind transactions with a cross-jurisdictional focus, working in New York, Tokyo and Sydney. He advises major companies, funds, investors, financial institutions and block-chain platforms, specialising in Smart Legal Contracts, CBDCs, DeFi, digital investments and novel financings.

Dr Jason Allen - Expertise Counsel

Jason is widely recognized as a leading expert on digital platforms and financial systems architecture. He has advised central banks, regulators, and technology companies in Europe, the USA and APAC. Author of the seminal text on SLCs together with leading publications on blockchain and DLT, the role of law in cyber-space and machine learning. Jason has vast cross jurisdictional expertise on Digital Assets, FinTech and RegTech.

Jenny Kiss - Expertise Counsel

Jenny is an experienced General Counsel and Senior Executive with over 30 years expertise in law, governance and strategic corporate advisory in the private and public sectors. She has deep experience with Boards and implementing major legal projects across industries and rights for Indigenous Australians. Jenny specialises in emerging tech law and legal risk management to transform traditional business operations.

Rachel Howard - Chief Operations

Rachel is an experienced tech and strategy leader. She was the Head of Frontier Technology, a global tech policy initiative, and a former senior McKinsey consultant serving some of Australia's largest institutions in strategy and innovation. Rachel led data focused impact investments for a family office and leads our fees-at risk investments. Rachel specialises in digital transformation, product innovation, AI risk, governance, operating model design and scale up programs,